

BOARD OF CBA

MINUTES

(26.03.2013)

Refinancing Rate for March 26th, 2013

The 26th of March 2013 CBA Board Meeting attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Vaghtang Abrahamyan, Armenak Darbinyan and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of March 26, 2013. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 0.4 percent of inflation recorded in February, and the 12-month inflation made up 3.1 percent, staying in the lower bound of the confidence band. The February deflation was mainly driven by 0.7 percent drop in food prices (making approximately 0.4 pp contribution), with items “vegetable and potato” and “fruit” having posted price decreases of 6.2 percent and 2.6 percent, respectively (a total of about 0.5 percent contribution to deflation). Core inflation in February remained on a stable track, posting a mere 0.2 percent rise, whereas the 12-month inflation figure reached 3.5 percent. The actual 12-month inflation developments were in line with the baseline scenario of February forecast, in which case, taking into account the expected inflation rate in March, inflation in the first quarter of 2013 is estimated 3.5 percent.

In the period January-February of 2013, relative to the previous reference period, the Economic Activity Indicator has been 8 percent, mostly attributable to output volumes in industry and services, having increased by 16.0 percent and 7.1 percent, respectively. The growth of output in agriculture and construction has been 2.2 percent and -8 percent, respectively. In the event these developments persist, the first quarter of 2013 economic growth indicator would most likely stand a little above the level outlined by the baseline scenario.

In the period January- February of 2013, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics: FOB) and import (trade statistics:

CIF) have increased by 30.4 percent and 8.9 percent, respectively. Net inflow of private remittances of individuals has grown in the meantime by 7.2 percent y-o-y.

In the first quarter of 2013 private consumption growth rates remained strong yet private investment was recovering at slower-than-expected rates. The CBA estimates suggest that the quarter will end with private consumption and private investment to have reported 9.2 percent and 5.1 percent increases, respectively. The fiscal policy's impact on aggregate demand is estimated to be contractionary, instead of projected expansionary, which is explained by savings on public expenditures and over-collection of revenues.

In the financial market in the first quarter, monthly interest rates performed mainly stably: as of March 15, 2013, average monthly interbank repo rate was 8.4 percent (posting a 1.4 pp drop in relation to the end of the previous year); market rate of treasury bills with up to 1-year of maturity fell by 0.6 pp to 9.7 percent; and interest rate of stock exchange-traded interbank loans dropped by 0.3 pp to 7.7 percent.

As of March 15, 2013, the dram exchange rate was as follows: relative to the past December average, the dram depreciation versus the U.S. dollar was 1.4 percent to AMD 411.5; versus Euro, by 0.6 percent to AMD 535.7, and versus Ruble, by 1.3 percent to AMD 13.4.

The monetary policy indicators in February performed as follows: the 12-month growth of broad money and dram broad money were, respectively, 20.9 percent and 13.0 percent, with y-o-y growth of dram deposits and foreign currency deposits having reached 19.0 percent and 31.4 percent (24.8 percent when impact of the exchange rate is excluded). Growth rates of lending to the economy amounted to 26.1 percent y-o-y, in which structure loans in foreign currency again prevailed.

In the first quarter of 2013 the world's main commodity markets saw trends of moderate growth yet some deflationary patterns were observable in food product markets in the face of persisting uncertainties over debt problems and a weak global demand. In the first quarter of 2013, relative to the previous month, the average price of "Brent" crude, as quoted at Intercontinental Exchange, has risen by 2.4 percent (with y-o-y decrease of 4.6 percent). At London Metal Exchange the copper price is expected to increase by 0.7 percent q-o-q (with y-o-y decrease of 4.2 percent).

The Food Price Index of FAO dropped in February by 0.12 percent against the previous month's index, and the Index has declined by 2.5 percent in relation to the same reference period of the previous year. Based on the first quarter data, the wheat price and sugar price have reduced, respectively, by 10.0 percent and 5 percent, with the former having posted y-o-y growth of 14.8 percent and the latter having reported y-o-y decrease of 25.0 percent.

The appreciation of the euro against the U.S. dollar in the first quarter is estimated at more than 2 percent (with y-o-y appreciation of 0.9 percent).

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The world's main commodity markets saw trends of moderate growth yet some deflationary patterns were observable in food product markets in the face of persisting uncertainties over debt problems and a sluggish global demand. Under such developments, in the forecast horizon, the external sector will be marked by a slow recovery rate in world economic growth, while inflationary pressures from the external environment are not expected.

As the latest developments denote, real economic growth in Armenian was beyond anticipations, driven mainly by higher-than-expected growths in industry and services, concurrent with increased rates in private spending. The Government's fiscal policy, which proved more contractionary than originally planned in the baseline scenario of the first quarter 2013 monetary policy program, has generally absorbed the inflationary impact of private demand on the domestic prices. So, as it was expected, the influence from the Armenian economy on domestic prices remains minor inflationary in the forecast horizon.

In view of the aforementioned developments as well as expected impact of the domestic economy's minor inflationary pressure on the 12-month inflation behavior in the forecast horizon, the Board finds it reasonable to carry on implementing a neutral policy by leaving the refinancing rate unchanged. In this circumstance, by the second half of the year the 12-month inflation will approach the 4 percent target and stay around in the forecast horizon.

In the 26th of March 2013 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were set at 9.5 percent and 6.5 percent, respectively.

The Central Bank Press Service